

Guangdong Songfa Ceramics Co (603268.SS)

Private placement's issue price finalized at Rmb146/shr, implying 2% discount to base price; Buy

603268.SS 12m Price Target: **Rmb200.00** Price: **Rmb155.69** Upside: **28.5%**

Post market close on July 21st, **Songfa/Hengli Heavy Industry announced the final issue price at Rmb146 per share for their private placement**, with 47.9mn shares issuance to raise Rmb7bn in total. **This issue price implies a 2% discount to the base price of Rmb149 per share**, which is derived from the average closing prices of 20 trading days before the pricing benchmark date, July 8th 2026. By combing the feedback from our conversation with investors, we believe this issue price's small discount **indicates that the investors are still optimistic on this company for the longer term, given the shares issued are required to wait for half a year to be unlocked**. And it implies a 6% discount to the latest closing price of Rmb156 on July 21st.

This private placement would bring 3.0% dilution to the EPS, after considering the financing cost saved. However, the company initially proposed the private placement of Rmb7bn to finance its phase III capacity expansion on Jan 15th 2026, which implies a larger dilution of 5.9% to EPS at the closing price of Rmb87.5 on Jan 15th. **So we believe the dilution impact has already been priced in by the market.**

This private placement is to finance the phase III capacity expansion, which started operation in June-2026 and we estimate could bring 1mn CGT capacity (>30% to previous two-phase capacity). We believe the existing three-phase capacity could generate Rmb14-16bn earnings in 2027-28 at full utilization. In addition, we see further earnings upside if Hengli finalises the phase IV capacity addition, which is estimated to add another up to 100% capacity to the existing three phases, as we believe the expanded capacity would be filled by strong new ship orders.

Investment Thesis - Guangdong Songfa Ceramics

We are Buy rated on Guangdong Songfa Ceramics, **whose primary asset, Hengli Heavy Industry, appears well positioned to become**

BUY

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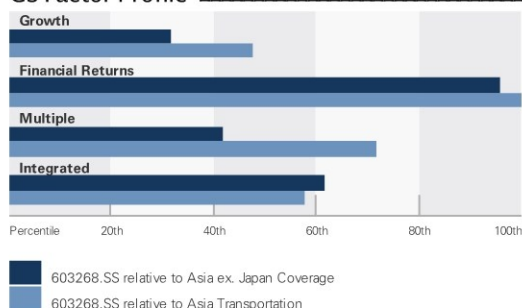
Key Data

Market cap: Rmb151.1bn / \$22.3bn
Enterprise value: Rmb159.1bn / \$23.5bn
3m ADTV: Rmb1.3bn / \$196.6mn
China
Asia Transportation
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn)	21,539.6	53,595.3	72,112.1	74,561.9
EBITDA (Rmb mn)	4,104.8	12,397.0	18,570.1	20,456.6
EPS (Rmb)	2.73	9.51	14.80	16.67
P/E (X)	17.8	16.4	10.5	9.3
P/B (X)	5.0	8.1	4.7	3.2
Dividend yield (%)	0.0	0.6	1.0	1.1
N debt/EBITDA (ex lease,X)	1.8	0.6	(0.4)	(1.0)
CROCI (%)	28.5	40.9	53.6	58.2
FCF yield (%)	(24.0)	0.4	9.8	9.9
	3/26	6/26E	9/26E	12/26E
EPS (Rmb)	1.13	2.53	2.71	3.14

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
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BUY

**Guangdong Songfa Ceramics Co
(603268.SS)**

Rating since Apr 2, 2026

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	17.8	16.4	10.5	9.3
P/B (X)	5.0	8.1	4.7	3.2
FCF yield (%)	(24.0)	0.4	9.8	9.9
EV/EBITDAR (X)	13.6	12.8	7.8	6.4
EV/EBITDA (excl. leases) (X)	13.3	12.7	7.8	6.4
CROCI (%)	28.5	40.9	53.6	58.2
ROE (%)	41.7	65.6	56.5	41.0
Net debt/equity (%)	90.8	42.7	(18.2)	(41.3)
Net debt/equity (excl. leases) (%)	77.6	36.9	(21.3)	(43.2)
Interest cover (X)	6.0	14.9	26.5	46.2
Days inventory outst, sales	59.5	55.3	61.0	64.2
Receivable days	3.0	1.5	1.8	2.0
Days payable outstanding	254.1	222.3	260.8	286.0
DuPont ROE (%)	28.1	49.4	44.7	34.5
Turnover (X)	0.4	0.6	0.7	0.6
Leverage (X)	5.2	4.6	3.3	2.5
Gross cash invested (ex cash) (Rmb)	21,316.7	29,953.4	29,549.6	30,793.6
Average capital employed (Rmb)	10,909.9	21,184.4	25,437.2	25,960.5
BVPS (Rmb)	9.74	19.25	33.10	48.29

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	277.6	148.8	34.5	3.4
EBITDA growth	595.4	202.0	49.8	10.2
EPS growth	1,083.1	247.9	55.6	12.6
DPS growth	NM	NM	55.6	12.6
EBIT margin	16.7	22.0	24.3	26.0
EBITDA margin	19.1	23.1	25.8	27.4
Net income margin	12.3	17.2	19.9	21.7

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	21,539.6	53,595.3	72,112.1	74,561.9
Cost of goods sold	(17,223.7)	(40,472.4)	(53,134.5)	(53,689.1)
SG&A	(710.3)	(1,346.1)	(1,448.9)	(1,498.1)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	4,104.8	12,397.0	18,570.1	20,456.6
Depreciation & amortization	(499.3)	(620.2)	(1,041.4)	(1,082.0)
EBIT	3,605.6	11,776.8	17,528.7	19,374.6
Net interest inc./exp.)	(556.9)	(754.0)	(623.0)	(336.7)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	3,181.3	11,068.5	16,905.7	19,037.9
Provision for taxes	(526.7)	(1,832.4)	(2,535.9)	(2,855.7)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	2,654.6	9,236.2	14,369.8	16,182.2
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	2,654.6	9,236.2	14,369.8	16,182.2
EPS (basic, pre-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (diluted, pre-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (basic, post-exception) (Rmb)	2.73	9.51	14.80	16.67
EPS (diluted, post-exception) (Rmb)	2.73	9.51	14.80	16.67
DPS (Rmb)	—	0.95	1.48	1.67
Div. payout ratio (%)	0.0	10.0	10.0	10.0

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	7,215.2	7,814.2	16,546.2	25,459.1
Accounts receivable	122.5	304.7	410.0	423.9
Inventory	5,175.2	11,051.9	13,053.8	13,190.1
Other current assets	16,519.6	32,581.0	42,179.6	44,103.0
Total current assets	29,032.5	51,751.9	72,189.6	83,176.1
Net PP&E	18,136.7	31,484.3	31,718.9	31,921.5
Net intangibles	2,076.4	2,088.9	2,101.9	2,115.4
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	146.5	146.5	146.5	146.5
Total assets	49,392.0	85,471.5	106,156.9	117,359.5
Accounts payable	15,216.6	34,092.8	41,847.5	42,284.3
Short-term debt	10,908.2	10,908.2	7,908.2	4,908.2
Short-term lease liabilities	217.7	190.8	170.2	154.9
Other current liabilities	5,497.1	13,464.6	18,067.1	18,676.0
Total current liabilities	31,839.6	58,656.4	67,992.9	66,023.2
Long-term debt	3,643.6	3,797.9	1,797.9	297.9
Long-term lease liabilities	1,032.2	904.5	807.0	734.1
Other long-term liabilities	3,424.5	3,424.5	3,424.5	3,424.5
Total long-term liabilities	8,100.3	8,126.9	6,029.4	4,456.5
Total liabilities	39,939.9	66,783.3	74,022.4	70,479.7
Preferred shares	—	—	—	—
Total common equity	9,452.1	18,688.3	32,134.5	46,879.7
Minority interest	—	—	—	—
Total liabilities & equity	49,392.0	85,471.5	106,156.9	117,359.5
Net debt, adjusted	7,336.6	6,891.8	(6,840.2)	(20,253.1)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	2,654.6	9,236.2	14,369.8	16,182.2
D&A add-back	499.3	620.2	1,041.4	1,082.0
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(5,217.9)	4,723.4	651.4	(1,027.9)
Other operating cash flow	334.8	—	—	—
Cash flow from operations	(1,729.3)	14,579.7	16,062.6	16,236.3
Capital expenditures	(9,630.5)	(13,980.3)	(1,289.0)	(1,298.1)
Acquisitions	—	—	—	—
Divestitures	21.5	—	—	—
Others	(34.2)	—	—	—
Cash flow from investing	(9,643.3)	(13,980.3)	(1,289.0)	(1,298.1)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	—	—	(923.6)	(1,437.0)
Inc/(dec) in debt	10,172.4	154.3	(5,000.0)	(4,500.0)
Other financing cash flows	6,043.6	(154.7)	(118.0)	(88.3)
Cash flow from financing	16,216.0	(0.4)	(6,041.6)	(6,025.3)
Total cash flow	4,843.5	599.0	8,732.0	8,912.9
Free cash flow	(11,359.8)	599.4	14,773.6	14,938.2

Source: Company data, Goldman Sachs Research estimates.

the second-largest shipbuilder globally by 2027E (GSe). We expect Hengli to be a major capacity addition player with a 29% CAGR in 2025-27E, factoring in the completion of its phase III yard, vs. a 3% CAGR for global peers. We expect this to drive its capacity market share to 7% by end-2026E and reduce its orderbook cover years to 2.7x (vs. global / China avg 3.6x/4.0x), one of the lowest among global major shipyards. On the other hand, we expect tanker super-cycle and an aging fleet to continue to bring new tanker orders, driving the orderbook to rise by c.50% to US\$39bn. Risks: Delays in ship delivery or new capacity release; Higher-than-expected steel prices; Less-than-expected new order wins; Lower-than-expected ASP; Stronger-than-expected RMB appreciation vs. USD; Faster-than-expected capacity expansion from other shipyards. Key catalysts: Earnings uptrend and new order wins.

Price Target Risks and Methodology - Guangdong Songfa Ceramics Co

Our 12-m target price of Rmb200/share is based on a 2028E P/E of 12x, based on the average of Chinese and Korean shipyards. Risks: Delays in ship delivery or new capacity release; Higher-than-expected steel prices; Less-than-expected new order wins; Lower-than-expected ASP; Stronger-than-expected RMB appreciation vs. USD; Faster-than-expected capacity expansion from other shipyards.

Disclosure Appendix

Reg AC

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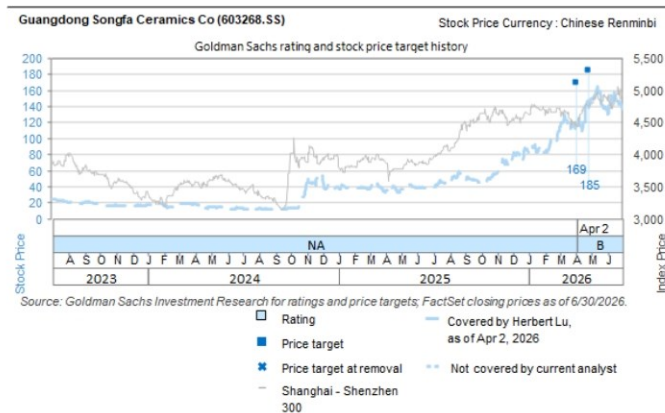
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Target price history table(s)

Guangdong Songfa Ceramics Co (603268.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
07-Jul-26	200.00	160.37
27-Apr-26	185.00	138.92
02-Apr-26	169.00	116.99

Price targets shown in table(s) are unadjusted for corporate actions.

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